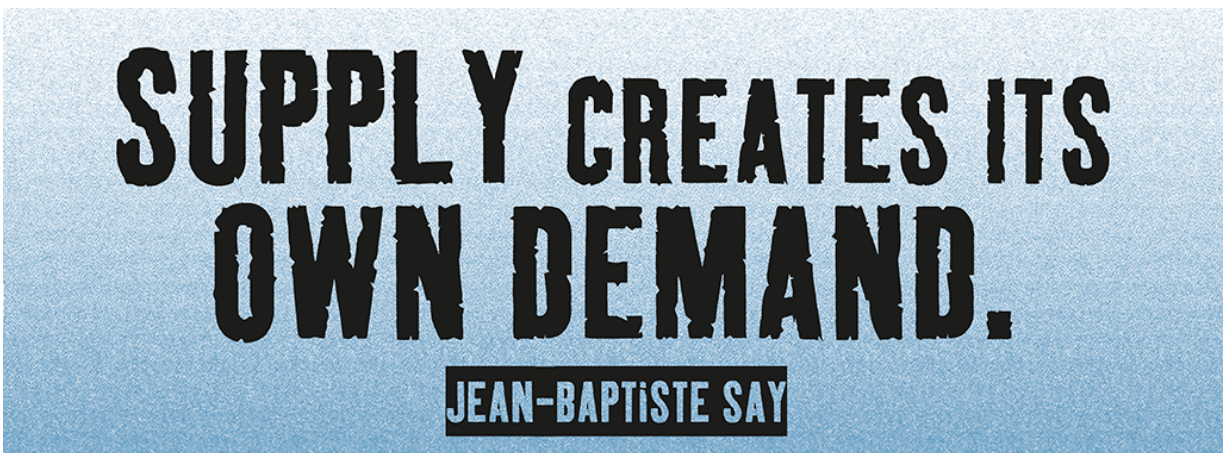


Perfectly balanced

In an ideal world, the way that buyers and sellers reach deals in the market would lead to a perfect balance of supply and demand. Left to its own devices, the market would regulate itself. But in reality this doesn't always happen. Economists have different views on how much markets should be left alone, and how much there should be some control over the way they operate. At one extreme, *laissez-faire* economists argue for completely free markets with no intervention, and at the other, Marxian economists—those who follow the theories of [Karl Marx](#)—argue for complete government control over production. Between these extremes, the mainstream of economic thinkers agrees that there have to be some regulations to compensate for the failings of the market system, with some government intervention. Where they may disagree, however, is about just how free markets should be, and how much governments should intervene.



Free thinkers

Free-market economists say that most regulation is unnecessary; it gets in the way of businesses helping the economy to grow and discourages innovation. It's true that some laws restrict what businesses can do, but no one would object to laws that stop someone from offering his services as a hit man or selling addictive drugs. And some regulations imposed on businesses are